Alphabet Inc. (GOOGL)

Watch list analysis, 2026-10-29 16:55 CET. Latest prices on 2026-10-29. Claude's notes updated 2026-10-29.

1. Summary

A dominant, still fast-growing business (revenue up about 25% a year in Q3), but no longer cheap: about 26x adjusted earnings against a 5-year median of about 20x, while record AI spending has pushed free cash flow below zero. View: a first look, not a full analysis yet. The proposed entry is 20x adjusted earnings, about $219, some 23% below today.

Price	Adjusted P/E, 12m	10-year median P/E	Entry at 20x
$286.35	**26.2x**	**23.7x**	**$219.00** 24% below today's price

- **Cheap:** not now; about 26x adjusted earnings, above its 10-year median of about 24x.
- **Strong:** about $240bn of cash against about $113bn of debt, revenue up about 25% and an operating margin near 32%.
- **Weak:** capital spending of about $130bn a year has turned the quarterly free cash flow margin negative (about -7% in Q3).
- **Uncertain:** whether AI search answers erode Search (still about half of revenue), and the size and value of the SpaceX and other private stakes that swing reported EPS.

2. The numbers

Absolute values, latest 12 months

Value	GOOGL
Price and value	
Share price	$286.35
Market value	$3,502.04bn
DCF fair value	$161.01
Cash flow before growth (DCF base)	$162.22bn
Debt and cash	
Total debt	$112.76bn
Net debt	$56.84bn
Short-term debt	$1.00bn
Long-term debt	$112.76bn
Cash	$242.47bn
Earnings	
Revenue (12m)	$445.87bn
EBITDA (12m)	$326.76bn
Net income (12m)	$244.21bn
EPS (12m)	$19.15
Forward EPS	$15.31
Cash flow	
Operating cash flow	$185.68bn
Capex	-$132.40bn
Free cash flow	$53.27bn

Absolute values by year (SEC filings; Yahoo where SEC has no figure)

Value	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	Latest 12m
Share price	$39.62	$52.67	$52.25	$66.97	$87.63	$144.85	$88.23	$139.69	$189.30	$313.00	$286.35
Market value	–	–	–	–	–	–	$1,161.02bn	$1,777.14bn	$2,356.22bn	$3,827.99bn	$3,502.04bn
Cash flow before growth (DCF base)	–	–	–	–	–	$81.65bn	$78.30bn	$90.04bn	$109.99bn	$143.58bn	$162.22bn
Total debt	$3.94bn	$3.94bn	$3.95bn	$3.96bn	$14.93bn	$14.82bn	$14.70bn	$12.87bn	$14.18bn	$48.54bn	$112.76bn
Net debt	-$8.98bn	-$6.77bn	-$12.75bn	-$14.54bn	-$11.53bn	-$6.13bn	-$7.18bn	-$11.18bn	-$9.28bn	$17.84bn	$56.84bn
Short-term debt	$0.00bn	$0.00bn	$0.00bn	$0.00bn	$1.00bn	$0.00bn	$0.00bn	$1.00bn	$3.30bn	$2.00bn	$1.00bn
Long-term debt	$3.94bn	$3.94bn	$3.95bn	$3.96bn	$13.93bn	$14.82bn	$14.70bn	$11.87bn	$10.88bn	$46.55bn	$112.76bn
Cash	$12.92bn	$10.71bn	$16.70bn	$18.50bn	$26.46bn	$20.95bn	$21.88bn	$24.05bn	$23.47bn	$30.71bn	$242.47bn
Revenue (12m)	$90.27bn	$110.86bn	$136.82bn	$161.86bn	$182.53bn	$257.64bn	$282.84bn	$307.39bn	$350.02bn	$402.84bn	$445.87bn
EBITDA (12m)	–	–	–	–	–	$88.99bn	$88.32bn	$96.24bn	$127.70bn	$150.18bn	$326.76bn

Value	FY2016	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	Latest 12m
Net income (12m)	$19.48bn	$12.66bn	$30.74bn	$34.34bn	$40.27bn	$76.03bn	$59.97bn	$73.80bn	$100.12bn	$132.17bn	$244.21bn
EPS (12m)	$1.39	$0.90	$2.19	$2.46	$2.93	$5.61	$4.56	$5.80	$8.04	$10.81	$19.15
Operating cash flow	$36.04bn	$37.09bn	$47.97bn	$54.52bn	$65.12bn	$91.65bn	$91.50bn	$101.75bn	$125.30bn	$164.71bn	$185.68bn
Capex	-$10.21bn	-$13.18bn	-$25.14bn	-$23.55bn	-$22.28bn	-$24.64bn	-$31.48bn	-$32.25bn	-$52.53bn	-$91.45bn	-$132.40bn
Free cash flow	$25.82bn	$23.91bn	$22.83bn	$30.97bn	$42.84bn	$67.01bn	$60.01bn	$69.50bn	$72.76bn	$73.27bn	$53.27bn

Ratios

Measure	GOOGL	Rule or peer median
Net debt / EBITDA	0.2x	≤ 4.5x
EBITDA / interest	145.1x	≥ 4x
Cash / short-term debt	242.5x	≥ 1x
Cash / long-term debt	215.0%	≥ 5%
Revenue growth, average / median year	12.5% / 13.9%	> 0
EPS growth (GAAP), average / median year	33.4% / 34.5%	> 0
Net margin, 12 months	54.8%	
P/E, trailing GAAP	15.0x	peer median 21.7x
P/E, forward	18.7x	
EV / EBITDA	10.9x	peer median 16.4x
Free cash flow yield	1.5%	
Price vs standard DCF fair value	+77.8%	< 0 is cheap

Strict screen: passes

Must-have	GOOGL
market value >= $1bn	Pass
reliable US-dollar data	Pass
profitable (net income and EBITDA > 0)	Pass
cash covers short-term debt	Pass
cash >= 5% of long-term debt	Pass
net debt / EBITDA <= 4.5x	Pass
EBITDA / interest >= 4x	Pass

Weighted screen against peers: GOOGL ranks 1 of 8

Company	Total	Debt (50%)	Profit and cash (25%)	Cheapness (25%)
1. GOOGL	**75.9**	**87.5**	**66.1**	**62.5**
2. TTD	68.8	68.8	50.0	87.5
3. MSFT	60.7	71.0	57.1	43.8
4. AMZN	60.3	68.3	60.7	43.8
5. META	60.2	48.2	78.6	65.6
6. ORCL	44.0	25.4	50.0	75.0
7. AAPL	39.6	51.8	33.0	21.9
8. IBM	34.4	16.5	54.5	50.0

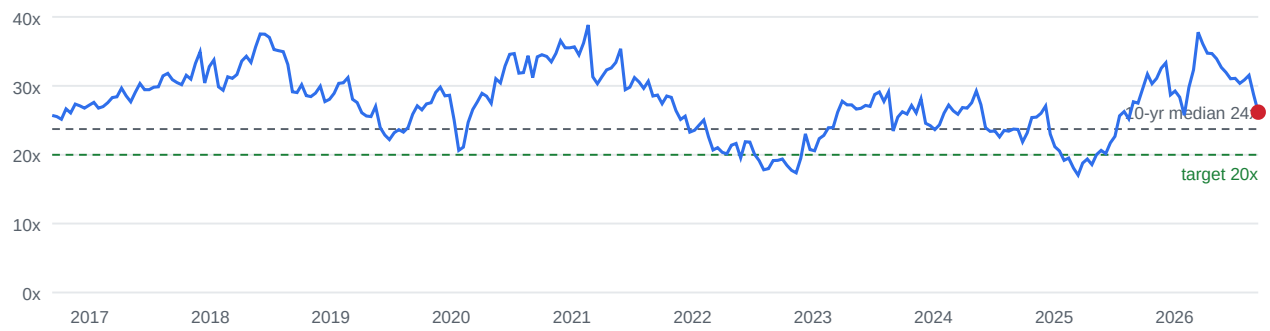
Peers: MSFT, META, AMZN, AAPL, ORCL, IBM, PINS, SNAP, TTD. Growth required. Scores are percentiles within the peers that pass the base rules.

DCF

Standard DCF	
Cash flow before growth (OCF − D&A + after-tax interest)	$162.22bn
WACC (CAPM)	10.7%
Growth forever	2.5%
Fair value per share	$161.01
Price vs fair value	+77.8%
Growth forever implied by today's price	5.9%

3. Analysis

Adjusted P/E against its own 10-year history



Year	Average price	Adjusted EPS	P/E
Now (12m)	**$286.35**	**$10.95**	**26.2x**
2025	$210.89	$10.66	19.8x
2024	$163.81	$8.05	20.3x
2023	$118.79	$5.80	20.5x
2022	$114.76	$4.55	25.2x
2021	$124.22	$5.60	22.2x
2020	$73.95	$2.94	25.2x
2019	$59.56	$2.59	23.0x
2018	$56.10	$1.99	28.2x
2017	$46.99	$1.72	27.3x
2016	$38.16	$1.56	24.5x

Median of the yearly P/E: 23.7x over 10 years, 20.5x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Feb 2026 $2.67, Apr 2026 $2.76, Jul 2026 $2.85, Oct 2026 $2.67. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day. The 2026-02-04 quarter uses $2.67: excludes the $2.3bn gain on equity securities ($0.15 a share, Alphabet's figure). The 2026-04-29 quarter uses $2.76: excludes the $36.9bn gain on equity securities ($2.35 a share, Alphabet's figure). The 2026-07-22 quarter uses $2.85: excludes the $99.0bn gain on equity securities, mainly SpaceX ($6.26 a share, Alphabet's figure). The 2026-10-28 quarter uses $2.67: excludes the $8.7bn loss on equity securities ($0.55 a share, Alphabet's figure).

Entry price

At 20x trailing adjusted EPS of $10.95, the entry price is **$219.00**, 24% below today's price. The 10-year range of yearly P/E is 19.8x to 28.2x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2027-02-03 (EPS estimate $3.35); if met, the entry price becomes $232.60.

Target: Proposed 2026-10-29, not yet confirmed by Babak: about the 5-year median (about 20x) and the decade low, a discount for the heavy AI capital spending (about $130bn a year) squeezing free cash flow.

Business

Alphabet owns Google Search and advertising, YouTube, Google Cloud, Android and Waymo. Q3 2026 revenue was about $127.6bn, up about 25% a year, in line with estimates; Search grew about 12%. Reported EPS swings with the marked value of its equity stakes (mainly SpaceX): gains added $2.35 a share in Q1 2026 and $6.26 in Q2, and a loss

took $0.55 off Q3. The adjusted EPS here leaves those out (see `eps_override` in the config), so the trailing figure is about $10.95, not Yahoo's $19.16.

Risks

- **Capital spending:** the AI build-out (data centres, chips) is at a record and may not earn its cost.
- **Search disruption:** AI chat assistants compete for the queries that carry Search's advertising.
- **Regulation:** US and EU antitrust cases over Search and advertising technology.
- **Earnings quality:** large unrealized gains and losses on private stakes make GAAP EPS noisy.

News

- 2026-10-28: Q3 results: revenue in line, GAAP EPS of $2.12 against a $3.01 estimate after an $8.7bn loss on equity securities; free cash flow negative. The stock fell about 8% after hours, to about $300, and is about $286 today.
- 2026-07-22: Q2 EPS of $9.11 included a $99.0bn gain on equity securities, mainly SpaceX ($6.26 a share).
- 2026-04-29: Q1 EPS of $5.11 included a $36.9bn gain on equity securities ($2.35 a share).

What to watch

- Q4 results around Feb 3, 2027, and the 2027 capital spending guidance.
- Free cash flow: whether it turns positive again as the new capacity starts earning.
- Google Cloud growth and margin, and Search growth as AI answers spread.

Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py GOOGL`